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No. 84622-1

IN THE COURT OF APPEALS OF THE STATE OF WASHINGTON DIVISION I

RACOON HILL, LLC, dba DOC'S RIVERSIDE TAP HOUSE,

Appellant,

v.

WASHINGTON STATE LIQUOR AND CANNABIS BOARD,

Respondent.

REPLY BRIEF OF APPELLANT

VIRGINIA P. SHOGREN, P.C.
VIRGINIA P. SHOGREN, WSBA 33939
961 W. Oak Court
Sequim, WA 98382
(360) 461-5551
vshogren@gmail.com

I.

OVERVIEW OF REPLY

The Washington State Liquor and Cannabis Board's ("LCB's") response is not persuasive. The LCB relies on tautological argument. The LCB asserts that since violations occurred, the appeal lacks merit. Repeated conclusory statements are not persuasive.

No matter how 'worthy' the LCB may regard its conduct, the LCB lacks the power to: 1) deny statutory due process to licensees; 2) regulate behavior outside of its legislative authority; and, 3) deceptively alter administrative code to provide the needed "authority" for *ultra vires* conduct. Each of these acts was taken by the LCB against Racoon Hill, LLC ("Doc's").

Until and unless the Legislature amends Title 66, the LCB's hands are tied. The liquor board does not have the authority to unilaterally impose or enforce medically-related license requirements, subject to criminal enforcement, on liquor

licensees, their employees, and patron members of the general public. RCW 66.08.030.

II.

REPLY TO BRIEF OF RESPONDENT

A. Reply to 'Introduction'

The LCB's faulty logic is on full display in this section. The LCB asserts that its enforcement actions were lawful because Doc's did not comply with an *ultra vires* regulation. Doc's could not violate an *ultra vires* regulation that was improperly amended by the LCB to give the appearance of legitimacy.

In its charging paperwork, the LCB overtly mispresented WAC 314-11-015 as authority for a "Covid-19 related complaint" by inserting an initial phrase of "314.11.015: Covid-19 related complaint" where no such phrase exists:

RCW / WAC Description

314.11.015;
314.11.015: Covid-19 related complaint. -- (1)(a) Liquor licensees are responsible for the operation of their licensed premises in compliance with the liquor laws and rules of the board (Title 66 RCW and Title 314 WAC). Any violations committed or permitted by employees will be treated by the board as violations committed or permitted by the licensee. (b) The penalties for violations of liquor laws or rules are in WAC 314 12 300 through 314 12 340, as now or hereafter amended, for licensees; and WAC 314 17 105 and 314 17 110, as now

CP 225.

The actual wording of WAC 314-11-015 makes no mention of a "Covid-19 related complaint":

What are my responsibilities as a liquor licensee?

(1)(a) Liquor licensees are responsible for the operation of their licensed premises in compliance with the liquor laws and rules of the board (Title 66 RCW and Title 314 WAC). Any violations committed or permitted by employees will be treated by the board as violations committed or permitted by the licensee.

WAC 314.11.015(1)(a).

The LCB altered a WAC in its favor to mislead Doc's. CP 225. If the legislative authority existed, the LCB would not have had to intentionally misrepresent the language of WAC 314-11-015.

B. Reply to 'Issues'

The LCB's Issues 2 and 4 are derived directly from to Predicate AVN #1. Response, p. 3. The LCB is estopped from arguing that Doc's in any way waived its right to address Predicate AVN #1 on this appeal. *See*, Response, p. 21. It is well known that any acts derived from administrative hearings

are reviewable by the superior court and ultimately by this court.

C. Reply to 'Statement of the Case'

The LCB's Statement of the Case highlights disputed material facts that were summarily adjudicated by the OAH (as affirmed by the LCB).

Doc's efforts to mediate the unilateral modification to the terms of its license and corresponding *ultra vires* regulation were rejected. The LCB's claims of "40 days" of silence by Doc's are flatly contradicted by the record on appeal. Response, p. 22.

On March 8, 2021, Doc's responded to Predicate AVN #1 with letters and Notices of Violations to Rick Garza, the LCB's Director, and LCB officer Matthew Stevenson. CP 242-248. When no response was received, Doc's sent a Courtesy Notice follow up to LCB officer Matthew Stevenson, stamped received on March 30, 2021. CP 245.

The LCB never responded to the March 8, 2021 letters. Instead, it proceeded with *ultra vires* enforcement.

As demonstrated in video Exhibit 31, on March 31, 2021, LCB officers presented themselves at Doc's premises, declined to discuss the matter with Doc's managing member, later falsely claimed a "hostile" environment due to being silently recorded by phone cameras, and left the licensee without posting a suspension notice or taking an inventory. WAC 314-29-040. Both the LCB's employees and Doc's doubted whether a valid suspension was in place. LCB. CP 58-59, Video Exh. 31; CP 296-298; 299-301; 303 ("We. . . didn't post the orange signs or take inventory." "[I]'m wondering if you believe the suspension notice has been met to start the suspension or not?"]).

On April 1, 2021 (the next day), the LCB engaged in an undercover sting operation at 4:17 p.m. to tee up AVN #2, further exacerbating relations with the licensee. CP 277-278.

The LCB also ignored certified notices sent by Doc's to the LCB asserting defenses and counter-claims regarding the legislatively unauthorized, *ultra vires*, nature of the LCB's enforcement actions. CP 14-54 (not admitted into the administrative record by the trial court; cited here for notice purposes, only).

D. Reply to 'Standard of Review'

The LCB asserts that review of the Final Order regarding AVN #2 (CP 481-484) may not include review of the Predicate AVN #1. The LCB is wrong.

AVN #1 is predicate to AVN #2. WAC 314-29-020. Review of AVN #2 must therefore necessarily be predicated on the legality and validity of AVN #1. *Id.*

The trial court allowed all evidence and argument as to Predicate AVN #1. Verbatim Transcript of Proceedings on Appeal, Vol. 1, *passim*; CP 223-230. The LCB brought no motion seeking to exclude evidence regarding Predicate AVN #1. This cannot be over-emphasized – LCB is estopped from

now attempting to argue in this court what it failed to argue below.

The LCB further concedes, as it must, that a court "shall not itself undertake to exercise the discretion that the legislature has placed in the agency. [citations omitted]" Response, p. 16.

The parties agree on this point: agency power is delineated by the Legislature which constitutionally reigns supreme throughout the nation. *West Virginia v. EPA*, 597 U.S. __, at p. 24, 142 S.Ct. 2587, 2609 (2022). No matter how much the OAH or the LCB may want to enforce medically-related gubernatorial proclamations, an agency may ONLY do so pursuant to legislatively granted authority. *Id.*

E. Reply to 'The Board's Final Order is Lawful and the 15-Day License Suspension Penalty Was Appropriate'

The LCB's Final Order was not lawful because Doc's could not violate an unlawfully-issued AVN #2 predicated on an unlawfully–issued AVN #1.

F. Reply to 'The Initial Order appropriately granted summary judgment because there were no issues of genuine issues regarding the fact[s] [sic] or law'

The OAH hearings officer (as affirmed by the LCB) granted summary judgment in the LCB's favor despite genuine issues of material fact and questions of law, *inter alia*: 1) whether the LCB lacked jurisdiction (statutory authority) to bring and/or enforce Predicate AVN #1 and AVN #2; 2) whether the original suspension under Predicate AVN #1 was legally commenced on March 31, 2021 such that the undercover sting operation the next day (April 1, 2021) was lawful; 3) whether the crowd present on March 31, 2021 was 'hostile' as claimed by the LCB as its excuse for not posting a public notice of suspension or conducting an inventory for Predicate AVN #1; and, 4) assuming, *arguendo*, the LCB had jurisdiction, whether Doc's violated the COVID-19 mandates regarding masks and social distancing. CP 392-402.

G. Reply to 'The penalty assessed under the second AVN is appropriate'

The LCB argues that the penalty for AVN #2 is 'appropriate' but does not address whether AVN #1 was lawfully-issued under RCW 66.08.030. Instead of facing that issue head-on with confidence, the LCB runs away from the crux of Doc's appeal.

H. Reply to 'Racoon Hill's Challenges to the First AVN Are Not Properly Before this Court'

The LCB continues to assert that Doc's waived its challenge to Predicate AVN #1, while simultaneously acknowledging that Doc's mailed responses to the LCB that were received prior to its enforcement of Predicate AVN # 1. Response, p. 22; CP 242-248.

The LCB's charge that Doc's 'ignored' Predicate AVN #1 for "nearly 40 days" is false. CP 219 ¶ 3, 245; Response, p. 22. Even if it had, such is completely irrelevant to the issue of regulatory authority and is a wonderful example of the 'red herring' tactic so often used to distract from weak arguments. In

a classic example of projection, it was the LCB that 'ignored' Doc's responses, objections, and notices of violations.

I. Reply to 'Racoon Hill is not entitled to a jury trial'

The LCB's reasoning in this section is, once again, circular. The LCB claims that because the APA does not have provisions for jury trials, that Doc's is not entitled to a jury to defend against accusations of criminal conduct.

The Legislature apparently disagrees. The LCB is legislatively granted the authority to enforce "the penal laws of this state relating to the manufacture, importation, transportation, possession, distribution and sale of liquor." RCW 66.44.010(2). Nowhere in RCW 66.44.010 is a person or entity charged under the "penal laws of this state" denied due process or the Constitutional right to a jury trial. This is likely because any such prohibition would be patently unconstitutional. WA State Const., Article I, § 21.

J. Reply to 'Racoon Hill was not cited for a criminal conduct violation at any point in these proceedings'

This section is disingenuous. The LCB's Predicate AVN #1, upon which the graduated penalty for AVN #2 relies, specifically cites Doc's with "Criminal conduct" under **WAC 314-11-015**:

Conduct violations: **Disorderly conduct** by licensee or employee, or permitting on premises. **Licensee and/or employee** intoxicated on the licensed premises and/or drinking on duty. **Criminal conduct:** Permitting or engaging in criminal conduct. WAC 314-11-015	5 day suspension or $500 monetary option	7 day suspension	30 day suspension	Cancellation of license

CP 226, Predicate AVN #1 (highlights by LCB in the original). Doc's was cited in AVN #2 for remaining operational while still not coming "into compliance with the current COVID-19 restrictions" punishable as gross misdemeanors. CP 159; RCW 43.06.220(5); RCW 9.92.020 (gross misdemeanors punishable by imprisonment of up to 364 days, a $5,000 fine, or both).

Doc's was placed in a no-win situation of criminal entrapment. Either admit to engaging in criminal conduct under

WAC 314-11-015 and RCW 43.06.220(5) or submit to the LCB's suspension of its property right. The LCB ran rough-shod over a licensee, and to this day, shows no acknowledgment of its wrongful actions.

K. Reply to 'There is no right to a trial by jury in administrative adjudications conducted under Washington's APA'

The LCB relies on RCW 66.08.150 in asserting it has enforcement jurisdiction over seemingly ANY conduct and may bring ANY conduct to an adjudicative proceeding without granting a licensee due process. Response, pp. 27-30.

Ironically, RCW 66.08.150 supports Doc's due process rights. The LCB never provided Doc's with a hearing prior to modification of the terms of license or license suspension. RCW 66.08.150(2).

The agency record is further void of any evidence of: 1) Doc's ever consenting to enforcing gubernatorial proclamations against its own employees and patrons as a new condition of licensure; 2) a duty of care of Doc's for the general public's

medical condition; or, 3) proximate causation between any act of Docs and any harm to any person. *Schooley v. Pinch's Deli Market, Inc.,* 134 Wn.2d 468, 474, 478; 951 P. 2d 749 (1998).

L. Reply to 'The first AVN for allowing conduct that posed a threat to public safety was validly issued'

The statutory authority claimed by the LCB for its conduct has been a moving target. Response, pp. 31-37.

At the administrative level, the LCB relied on RCW 66.08.030. At the trial court, apparently recognizing the inherent weakness of that position, the LCB switched gears and relied on the introductory language in RCW 66.08.010 (combining the words "health" and "safety").

Now on appeal, the LCB has tacked back to RCW 66.08.030, identifying subsections (6) and (12) as providing its claimed authority:

> The power of the board to make regulations under chapter 34.05 RCW extends to:
>
> * * *

> (6) Regulating the sale of liquor kept by the holders of licenses which entitle the holder to purchase and keep liquor for sale; . . .
>
> * * *
>
> (12) Prescribing the conditions, accommodations, and qualifications requisite for the obtaining of licenses to sell beer, wines, and spirits, and regulating the sale of beer, wines, and spirits thereunder; . . . .

Nothing in the two subsections cited by the LCB provides statutory authority to regulate medically-related gubernatorial proclamations subject to criminal penalties and which have no relation to liquor sales or consumption.

Doc's is not reading a "restriction" into Title 66. There is nothing there to "restrict." Doc's is only relating an undeniable absence of legislative authority for the LCB's actions that were taken against Doc's license.

M. Reply to 'Racoon Hill was never required to practice medicine, use specialized medical devices, or otherwise provide health care services to anyone'

Starting at page 38 of its Response, the LCB finally begins to address the first three assignments of error.

In a supreme moment of irony, the LCB points out that Doc's "runs a bar and restaurant" and is "not a health care provider." Response, p. 38. And yet, this is precisely the standard to which the LCB held Doc's: Doc's was cited with criminal conduct for allegedly failing to adhere to medically-related proclamations. CP 223-230, 159-163.

The LCB then switches gears to low-key the importance of the COVID-19 mandates, dismissing them as no more than "minimal safety precautions." Response, p. 38.

The LCB cannot have it both ways. Either COVID-19 mandates were serious enough for citations of criminal conduct (gross misdemeanors), or they were just 'plexiglass' type safety precautions. Which was it? And why is the LCB down-playing the importance of the COVID-19 mandates now that its conduct is being exposed to the light of day?

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/ / /

N. Reply to 'Adopting COVID-19 safety precautions is not the practice of medicine'

The LCB again downplays the seriousness of the COVID-19 mandates, calling masks a "simple face covering" "not primarily directed at treating a medical condition" and as more akin to a "sneeze-guard." Response, pp. 38-40.

The LCB cannot have it both ways. If the masks were just a "sneeze-guard," then why did the LCB cite Doc's with criminal conduct for not requiring employees and patrons to wear them as a new condition of licensure? CP 226.

O. Reply to 'Requiring the use of face masks is not a health care service'

The LCB concedes, as it must, that under federal law, "face masks are medical devices when they are intended for use in the diagnosis, cure, mitigation, treatment, or prevention of disease." Response, p. 41 (citing 21 U.S.C. §321(h)(1).).

Order 20-03.01 regarding "Face Coverings – Statewide" issued by the Washington State Secretary of Health on July 24, 2020 confirms that the masks were imposed for medical reasons

relating to the mitigation and prevention of disease. Appellant's Appendix 140-143 (Order 20-03.1; incorporated by reference into both proclamations, Appendix 130-139).

The Order required the facial covering of the nose and mouth of "[e]very person in Washington State" to "reduce[] an infected person's chance of spreading . . . infection" of the "coronavirus disease 2019". Appendix 140 (emphasis added).

The masks were undeniably mandated for medical reasons. The LCB required Doc's to impose the medical device requirements on its employees and patrons as a condition of continued licensure with ZERO statutory authority in support.

The mandates further subjected Doc's to potential serious liability for anyone experiencing problems with the wearing of a face covering – not only due to medical conditions such as asthma, hypoxemia, chronic obstructive pulmonary disease, cardiovascular disease, infections in the airways, croup, bronchitis, pneumonia, flu or a cold – but also in light of Washington State law that allows for conscientious objection to

specific health services. RCW 70.47.160; RCW 48.43.005(29) ("Health care service" means that service offered or provided . . . relating to the prevention . . . of. . . disease.")

P. Reply to 'Racoon Hill's Other Arguments Are Meritless'

This panel has plenary power over both the interpretation and validity of WAC 314-11-015 used by the LCB as the legal authority to cite Doc's with criminal conduct under proclamations. RCW 34.05.570(2)(c). It seems highly unlikely that the rule making file for WAC 314-11-015 would include a discussion of pandemic-related medical requirements enforced against licensees. In any event, LCB has made no effort to show that the file could contain such relevant information.

The grounds for errors under RCW 34.05.570 committed by the OAH, as affirmed by the LCB in its Final Order, are numerous, and extend from subsections 3(a) through 3(f) and 3(i) of that statute. The Assignments of Error in Appellant's Opening Brief are limited for purposes of judicial economy,

only, and are in no way intended as a waiver of any of the grounds for setting aside AVN #2.

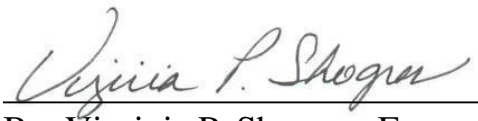
III.
CONCLUSION

The Final Order must be reversed and AVN #2 set aside.

Respectfully submitted this 6th day of July, 2023.

Per RAP 18.17(b), I hereby certify the number of words contained in this Reply Brief of Appellant are as follows: 2,727.

VIRGINIA P. SHOGREN, P.C.



By: Virginia P. Shogren, Esq.
961 W. Oak Court
Sequim, WA 98382
(360) 461-5551
WA State Bar No. 33939
Counsel for Racoon Hill, LLC

CERTIFICATE OF SERVICE

I certify, under penalty of perjury under the laws of the State of Washington, that the foregoing was electronically filed in the Court of Appeals of the State of Washington, Division I and electronically served on the following parties, according to the Court's protocols for electronic filing and service:

JASON W. MILLER
ASSISTANT ATTORNEY GENERAL OF WASHINGTON
1125 Washington St. SE
PO Box 40100
Olympia, WA 98504-0100
Jason.miller@atg.wa.gov, GCEEF@atg.wa.gov,
Kelli.lewis@atg.wa.gov
Counsel for Respondent Washington State Liquor and Cannabis Board

Dated this 6th day of July, 2023, at Sequim, Washington.

s/*Virginia P. Shogren*

VIRGINIA P. SHOGREN, P.C.

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